

Domain V — Performing Internal Audit Services

Principle 15 — Communicate Engagement Results and Monitor Action Plans

Content classification: Requirements and implementation guidance below are paraphrased from the supplied pages. Suggested controls, audit procedures, red flags, and illustrative findings are practical application content, not additional IIA requirements.

Principle 15 — Overview

Internal auditors communicate engagement results to the appropriate parties and monitor management's progress in implementing recommendations or action plans.

This principle connects the completion of an engagement with the action needed to address its findings. Internal auditors issue a final communication, explain the results, identify responsibility for corrective actions, and conduct follow-up work to confirm implementation.

Management remains responsible for implementing corrective actions. Internal audit evaluates and confirms progress through an established methodology.

Standard	Title	Main purpose
15.1	Final Engagement Communication	Communicate complete, supported, approved engagement results to the appropriate parties.
15.2	Confirming the Implementation of Recommendations or Action Plans	Confirm implementation through progress inquiries, risk-based follow-up, and action tracking.

Standard 15.1 — Final Engagement Communication

1. Standards & Guidance

Requirements

For every engagement, internal auditors must develop a final communication containing:

- The engagement objectives.
- The engagement scope.
- Recommendations and/or action plans, where applicable.
- Engagement conclusions.

For assurance engagements, the final communication must also contain:

- The findings, including their significance and prioritization.

- An explanation of any scope limitations.
- A conclusion on the effectiveness of the governance, risk management, and control processes of the activity reviewed.

Responsibility and Completion Dates

The final communication must identify the individuals responsible for addressing the findings and the planned completion dates for the actions.

Responsibilities should be presented clearly enough for the recipients to understand who is accountable for addressing each finding and when completion is expected.

Actions Taken Before Final Communication

When internal auditors become aware that management has started or completed actions addressing a finding before the final communication is issued, those actions must be acknowledged.

Acknowledging an action does not, by itself, establish that internal audit has verified its implementation or effectiveness. The communication should accurately describe the status supported by the available evidence.

Communication Quality

The final communication must meet the seven characteristics described in Standard 11.2:

Characteristic	Application to the final communication
Accurate	Facts, calculations, references, and descriptions are correct.
Objective	Results are presented fairly and reflect a balanced evaluation of the evidence.
Clear	Readers can understand the findings, conclusions, and expected actions.
Concise	Unnecessary repetition and irrelevant detail are removed.
Constructive	The communication supports improvement and appropriate action.
Complete	Information necessary to understand the results is included.
Timely	Results reach the appropriate parties in time to support action.

Review, Approval, and Distribution

Internal auditors must ensure that the chief audit executive reviews and approves the final communication before it is issued.

The chief audit executive must distribute the final communication to parties who can ensure that its results receive appropriate consideration.

Disclosure of Nonconformance

If the engagement was not conducted in conformance with the Standards, the final communication must disclose:

1. The standards with which conformance was not achieved.
2. The reasons for the nonconformance.
3. The impact on engagement findings and conclusions.

Considerations for Implementation

A statement that the engagement was conducted in conformance with the Global Internal Audit Standards should be included when supported by engagement supervision and the quality assurance and improvement program.

A conformance statement should therefore be based on supporting evidence rather than inserted automatically into every report.

The chief audit executive may establish templates and procedures for final communications. The format may vary according to the organization and the intended audience.

Different versions may be prepared for different audiences, taking account of:

- Their knowledge of the activity reviewed.
- How the findings and conclusions affect them.
- How they will use the information.
- The level of detail they need.

Additional report components may include a title, background, recognition of positive aspects or cooperation, and a distribution list.

Before issuance, the review should verify that:

- The documented work is consistent with the objectives, scope, and Standards.
- Results are clear and supported by relevant, reliable, and sufficient information.
- Requirements for communication with management of the activity reviewed have been met.

Oral final communications are usually supported by presentation materials, meeting notes, or a written report.

Examples of Evidence of Conformance

- Written final engagement communications.
- Presentation slides or meeting notes supporting oral communications.
- Records demonstrating review and approval before issuance.

- Documentation showing that communication requirements with the activity reviewed were fulfilled.

2. Audit Focus Areas

- Inclusion of all required communication elements.
- Traceability of findings and conclusions to supporting evidence.
- Clear reporting of finding significance and priority.
- Disclosure of scope limitations.
- Identification of responsible individuals and completion dates.
- Accurate acknowledgment of management actions already taken.
- Chief audit executive review and approval before issuance.
- Distribution to appropriate recipients.
- Support for conformance statements and disclosure of nonconformance.

3. Risks

Risk	Potential consequence
Required information is omitted	Readers cannot fully understand the results or required response.
Findings or conclusions are unsupported	Decisions are based on inaccurate or unreliable information.
Scope limitations are not disclosed	Recipients assume assurance beyond the work performed.
Responsibilities or completion dates are unclear	Corrective action is delayed or accountability is disputed.
Communication is issued without approval	Errors or inappropriate conclusions reach stakeholders.
Distribution is incomplete or inappropriate	Relevant decision-makers do not receive results, or information reaches unintended recipients.
An unsupported conformance statement is included	The quality and conformity of the engagement are misrepresented.
Issuance is delayed without justification	Significant issues remain unresolved for longer than necessary.

4. Controls

Suggested control	Type
Final communication template covering required elements and assurance-specific disclosures	Preventive
Report-to-workpaper cross-referencing for findings and conclusions	Preventive
Quality review covering the seven communication characteristics	Detective
Required fields for responsible individuals and planned completion dates	Preventive
Approval workflow preventing issuance before chief audit executive approval	Preventive
Review of scope limitations and engagement nonconformance before issuance	Detective
Controlled distribution list approved for the engagement	Preventive
Tracking of report preparation, approval, and issuance dates	Detective
Review of management actions taken before issuance and the evidence supporting their reported status	Detective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Inspect final communications for objectives, scope, conclusions, and recommendations or action plans where applicable.	Final communication, approved objectives and scope, reporting template.
For assurance engagements, verify inclusion of findings, priorities, scope limitations, and the effectiveness conclusion.	Final report, finding register, scope limitation records, conclusion workpaper.
Trace selected findings, figures, and conclusions to supporting workpapers.	Indexed workpapers, calculations, source documents, analysis results.
Confirm that the report identifies responsible individuals and planned action completion dates.	Final action plans, management responses, ownership records.
Compare actions taken before issuance with how they are described in the communication.	Management updates, implementation evidence, final report wording.
Verify that chief audit executive approval preceded issuance and covered the issued version.	Approval records, version history, issuance date.
Review the distribution list for appropriate decision-makers and recipients.	Distribution methodology, approved list, transmission records.
Assess whether any conformance statement is supported and whether identified nonconformance was properly disclosed.	Supervision records, relevant quality assessment results, nonconformance assessment, final communication.
Review timeliness against the function's methodology and the significance of the results.	Engagement milestones, reporting dates, documented reasons for delay.

6. Red Flags

- Final reports omit scope limitations recorded in the workpapers.
- Finding ratings differ between the approved findings and the issued report without explanation.
- Action plans identify only a general department without specifying a responsible individual.
- Completion dates are missing or described only as “as soon as possible.”
- The issued report differs materially from the approved version.
- A conformance statement appears automatically despite identified engagement nonconformance.
- Management actions are described as verified when only a progress statement was received.
- Significant results are delayed because of unresolved wording discussions.
- The report contains conclusions that cannot be traced to completed work.

7. Common Findings — Illustrative Examples

- The final communication omitted a scope limitation that affected the extent of assurance provided.
- Corrective actions were reported without identifying responsible individuals or planned completion dates.
- The report was distributed before the chief audit executive approved it.
- Financial figures included in the final communication were inconsistent with supporting workpapers.
- Management actions taken before issuance were not acknowledged.
- The final report included a conformance statement without sufficient supporting evidence.
- Identified engagement nonconformance was not disclosed with its reasons and impact.
- Results were not distributed to a management level able to ensure appropriate action.

8. Professional References

- Standard 15.1 — Final Engagement Communication.
 - Standard 11.2 — Effective Communication.
 - Standard 11.3 — Communicating Results.
 - Standard 14.1 — Gathering Information for Analyses and Evaluation.
 - Standard 14.5 — Engagement Conclusions.
 - Standard 14.6 — Engagement Documentation.
 - Standard 12.3 — Oversee and Improve Engagement Performance.
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Standard 15.2 — Confirming the Implementation of Recommendations or Action Plans

1. Standards & Guidance

Requirements

Internal auditors must confirm that management has implemented internal audit recommendations or management action plans using an established methodology.

The methodology must include:

- Inquiring about implementation progress.
- Conducting follow-up assessments using a risk-based approach.
- Updating the status of management actions in a tracking system.

The extent of these procedures must reflect the significance of the finding.

A significant finding may require more extensive verification than a lower-significance issue. The approach should be supported by the methodology and the circumstances of the finding.

Delayed or Incomplete Implementation

When management has not progressed according to established completion dates, internal auditors must:

1. Obtain management's explanation.
2. Document that explanation.
3. Discuss the issue with the chief audit executive.

The chief audit executive is responsible for determining whether senior management's delay or inaction represents acceptance of risk exceeding the organization's risk tolerance.

An overdue action is not automatically evidence of unacceptable risk acceptance. The chief audit executive must evaluate the circumstances and exposure, with reference to Standard 11.5.

Considerations for Implementation

A spreadsheet, database, or software application may be used to track implementation.

The system should support identification of open and overdue actions and communication with the board and senior management.

Automated reminders may notify responsible individuals when actions approach their target completion dates. Automation supports the process but does not replace the judgment needed to confirm implementation.

The follow-up methodology should define when assessments are needed to establish that actions have effectively addressed the findings. Completed actions may be selected for follow-up according to risk significance.

Where management proposes an alternative action plan, internal auditors should assess whether it is satisfactory or better than the original plan. If they agree, progress on the alternative plan should be tracked through completion.

Examples of Evidence of Conformance

- A routinely updated tracking system containing the finding, corrective action, status, and internal audit's confirmation.
- Corrective action status reports prepared for the board and senior management.

2. Audit Focus Areas

- Completeness of the action tracking register.
- Accuracy and currency of implementation status.
- Alignment of follow-up effort with finding significance.
- Quality of evidence supporting reported completion.
- Verification that actions address the underlying finding.
- Documentation of delays and management explanations.
- Chief audit executive consideration of risk acceptance.
- Evaluation and tracking of alternative action plans.
- Accuracy of status reporting to the board and senior management.

3. Risks

Risk	Potential consequence
Actions are missing from the tracking system	Findings are not followed through to resolution.
Closure relies only on unsupported management statements	Unresolved weaknesses are incorrectly reported as closed.
Follow-up effort does not reflect significance	High-risk issues receive inadequate scrutiny.
Overdue actions are not investigated	Exposure continues without appropriate oversight.
Completion dates are repeatedly changed without explanation	Delays are obscured and accountability weakens.
Alternative actions are accepted without evaluation	The original risk remains inadequately addressed.
Partial implementation is recorded as complete	Reporting overstates progress.
Excessive risk acceptance is not identified or escalated	The organization remains exposed beyond its risk tolerance.

4. Controls

Suggested control	Type
Central action register reconciled to final engagement communications	Preventive / Detective
Defined follow-up criteria based on finding significance	Preventive
Evidence requirements appropriate to the action and risk	Preventive
Internal audit verification before an action is marked as confirmed complete	Detective
Recorded explanations and chief audit executive review of overdue actions	Detective / Corrective
Date-change history preserving original and revised completion dates	Preventive
Assessment of alternative plans against the original finding and risk	Preventive
Periodic reconciliation of status reports to underlying evidence	Detective
Escalation process linked to the risk-acceptance methodology	Corrective

5. Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Reconcile findings and actions from final communications to the tracking system.	Final reports, action plans, tracking register, reconciliation results.
Review the methodology for progress inquiries, risk-based follow-up, and status updates.	Follow-up methodology, significance criteria, responsibilities.
Select actions for verification based on significance, age, and reported status.	Finding priorities, due dates, status history, selection rationale.
Compare management's completion statements with supporting evidence.	Management updates, revised procedures, system records, implementation documents.
For selected significant actions, test whether the implemented response addresses the finding.	Follow-up test results, transactions after implementation, control-operation evidence.
Inspect overdue actions for documented explanations and discussion with the chief audit executive.	Delay explanations, meeting records, escalation correspondence.
Review alternative action plans for assessment and continued tracking.	Revised plans, internal audit evaluation, status updates.
Evaluate the chief audit executive's assessment of potentially excessive risk acceptance.	Risk assessments, tolerance criteria, discussions and escalation records.

Audit procedure	Required evidence
Reconcile board and senior management status reports to the underlying register and confirmation evidence.	Status reports, action register, closure workpapers.

6. Red Flags

- All actions are closed immediately after management reports completion.
- Revised policies are accepted as proof that controls operate effectively.
- High-significance actions remain overdue without chief audit executive discussion.
- Original completion dates disappear when revised dates are entered.
- Multiple actions share the same generic completion evidence.
- Partially implemented actions are reported as fully complete.
- Alternative actions are materially weaker than the original response.
- Closed findings recur in subsequent engagements.
- Board reports show fewer overdue actions than the underlying register.
- Management repeatedly reports progress without providing evidence of change.

7. Common Findings — Illustrative Examples

- Several actions in final engagement reports were omitted from the follow-up register.
- Actions were closed based solely on management representations, without confirmation appropriate to their significance.
- Significant overdue actions lacked documented explanations and discussion with the chief audit executive.
- Follow-up testing confirmed that an implemented action did not adequately address the original finding.
- Revised completion dates were recorded without preserving the original dates or explaining the delay.
- An alternative action plan was accepted without evaluating whether it adequately addressed the risk.
- Status reports overstated completed actions by including partially implemented responses.
- The potential acceptance of risk beyond tolerance was not evaluated despite persistent management inaction.

8. Professional References

- Standard 15.2 — Confirming the Implementation of Recommendations or Action Plans.
 - Standard 11.5 — Communicating the Acceptance of Risks.
 - Standard 14.3 — Evaluation of Findings.
 - Standard 14.4 — Recommendations and Action Plans.
 - Standard 15.1 — Final Engagement Communication.
 - Standard 14.6 — Engagement Documentation.
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Practical Application

The following fields can support a future action-monitoring function or be presented as a practical reference within the standard.

Field	Purpose
Engagement reference	Links the action to the relevant engagement.
Finding reference and title	Identifies the issue being addressed.
Finding significance	Supports prioritization and follow-up planning.
Recommendation or agreed action	Records the response to the finding.
Responsible individual	Identifies management accountability.
Original completion date	Preserves the initial commitment.
Revised completion date	Records an approved or accepted change, where applicable.
Reason for delay or revision	Explains changes in implementation timing.
Management-reported status	Records management's progress statement.
Supporting evidence	Links to evidence of implementation.
Internal audit verification	Records the procedures performed and their results.
Internal audit-confirmed status	Distinguishes verified status from management's assertion.
Alternative action details	Records changes to the proposed response and their assessment.
Escalation or risk-acceptance assessment	Documents matters requiring chief audit executive consideration.
Last update and confirmation date	Shows the currency of the record.

Suggested Status Labels

These labels are practical design options rather than prescribed IIA terminology.

Status	Meaning
Not Started	Management has not begun implementation.
In Progress	Implementation is underway.
Management Reports Complete — Verification Pending	Management has reported completion; internal audit confirmation is pending.
Verified Complete	Internal audit has confirmed implementation through procedures appropriate to the finding's significance.
Partially Implemented	Some elements are complete, but the action is not fully implemented.

Status	Meaning
Alternative Action Under Review	A revised response is being evaluated.

Overdue should be a separate indicator based on the completion date, so an action can remain both “In Progress” and “Overdue.” Any recorded risk acceptance should include the supporting decision and escalation assessment; it should not be treated as proof that the action was implemented.
